Aditya Infotech Ltd — the CP PLUS CCTV company

Concall Tracker · reads the earnings calls to answer two questions: is there a real profit trigger, and has management stuck to its word? · Screener ticker: CPPLUS · Report date: 11 Jul 2026

1. Snapshot — what the business is

Aditya Infotech makes and sells video-security gear — CCTV cameras and recorders — under its own brand **CP PLUS**. It is the largest CCTV brand in India and runs the country's biggest single CCTV factory at Kadapa, Andhra Pradesh. It sells to shops and small businesses (about 60% of sales), to large companies and government (about 30%), and to homes (about 10%). It listed on the stock market in August 2025.

Number (latest)	Value	What it means in plain words
Market value of the company	₹43,162 crore	What the whole company is worth on the stock market today — a large mid-cap.
Full-year sales (FY26)	₹4,221 crore	Total sales in the year ended March 2026 — up about 36% on the year before. Fast growth.
Operating profit / margin (FY26)	₹579 cr / 13.7%	Profit from the core business before interest and tax; 13.7 paise of every sales rupee — up sharply from ~8% a year earlier.
Net profit (FY26, adjusted)	₹368 crore	The final take-home profit — up about 166%, i.e. it more than doubled and then some.
Debt (March 2026)	₹146 crore	Borrowings, cut hard from ~₹500 cr after the company used IPO money to repay loans — a light debt load now.
Return on capital (ROCE)	31.2%	For every ₹100 of capital used, it earns ₹31 a year before tax — a strong, high-return business.
Share price / P/E	₹3,662 / 127x	The stock trades at 127 times yearly profit — a very expensive price. It has moved from a low of ~₹1,015 to ~₹3,792, more than tripling.

Sales/profit are from the company's own earnings calls; Screener's tables show near-identical figures (FY26 sales ~₹4,179 cr, net profit ~₹341 cr reported before one-off adjustments).

2. Concall coverage

Because the company only listed in August 2025, its whole public history is just **four earnings calls** — roughly nine months. All four were read in full. This is a short window, so the "has management kept its word?" read is based on a young track record and should be treated as early evidence, not a long proven record.

Quarter	Call date	Read?
Q1 FY26 (Apr–Jun 2025) — maiden call	20 Aug 2025	Yes
Q2 FY26 (Jul–Sep 2025)	13 Nov 2025	Yes
Q3 FY26 (Oct–Dec 2025)	13 Feb 2026	Yes
Q4 & full-year FY26 (Jan–Mar 2026)	28 May 2026	Yes (latest)

★ Latest concall highlights — Q4 & FY26 (call held 28 May 2026)

- **Blowout quarter.** Q4 sales ₹1,422 crore, up 45.5% on the year; operating-profit margin jumped to 18% (from 10%) and net profit ₹169 crore, up ~208% — roughly a tripling. *Read: the best quarter yet, but management said the 18% margin was flattered by cheap old stock and a one-off and is not the new normal.*
- **Full year FY26:** sales ₹4,221 cr (+36%), operating profit ₹579 cr (+124%), net profit ₹368 cr (+166%). *Read: profit grew far faster than sales because the product mix improved and interest costs fell after debt repayment.*
- **Market share leapt to about 45%** of India's organised CCTV market (from ~30% a year earlier), well past the ~36% the company had projected at IPO. *Read: the China-ban tailwind delivered more share than even management expected.*
- **Guidance raised again.** FY27 sales now guided to ₹6,000–6,500 cr (~50% growth) with 14–15% operating margin — up from the ₹5,350–5,550 cr guided just one quarter earlier. Dividend of ₹1.6 per share declared. *Read: management keeps lifting its own targets as results beat, a confident tone.*
- **The warning bell:** a worldwide shortage of memory chips (DDR/Flash) and camera chips is pushing input costs up until 2027; the cheap inventory cushion is now used up. *Read: profit growth may lag sales growth for a while as costs rise faster than price hikes can be passed on.*

Business mix & capacity (quick facts)

Where sales come from: almost entirely India — small business ~60%, enterprise + government ~30% (government alone ~15%), homes ~10%. **Exports are essentially nil** today; management repeatedly said exports are only a "few quarters down the line" idea, not yet started. *Read: this is, for now, a pure domestic India story.*

Capacity: the Kadapa plant reached **2.5 million units a month** by Q4 FY26 (up from 1.5 million a year earlier) and is being run towards 90–100% use. *Read: the factory has roughly doubled its output in a year and management plans to double it again by FY28 — capacity is being built ahead of demand, not behind it.*

3. Earning-trigger thesis ★

The trigger is a government rule that shut Chinese brands out of India's CCTV market. From April 2025, every network (internet-connected) CCTV camera sold in India must carry an Indian cyber-security certificate called STQC, and the rules effectively bar Chinese chips and Chinese brands (Hikvision, Dahua and others) from qualifying. CP PLUS, as the largest Indian maker with the biggest certified product range, has been scooping up the share those brands vacated. This is not a hope — it is already visible in the numbers: sales +36%, profit +166%, and market share up from ~30% to ~45% in a single year. On top of it, profit margins are widening as the company sells more of its own high-value CP PLUS branded cameras (86% of sales, up from ~70%) and more premium internet cameras, and as it makes more parts in-house.

Trigger	What management said	Evidence so far	Time horizon	Strength
China-ban / STQC rule hands share to CP PLUS	"A reset of the industry" — Chinese brands can't qualify; CP PLUS best placed to grab the gap	Share up ~30%→45%; sales +36% in FY26; Chinese-brand distribution (Dahua) shrank to almost nothing	Playing out now; strongest 1–2 years while rivals scramble to certify	Strong
Margin lift from own-brand + premium mix + in-house parts	CP PLUS share of sales and IP-camera share both rising; localising housings, cables, lenses	Operating margin ~8% → 13.7% in FY26; guided 14–15% ahead	Underway; more from FY27–28 as in-house plants start	Strong
New legs: AI/Qualcomm, L&T chip, multi-brand (Eyra, Nexivue)	Moving from hardware to AI analytics + cloud services; two new brands for mass/rural market	Mostly announcements/trials; new brands only just shipping	2–3 years out	Unproven (early)

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Q1 FY26 (Aug 2025)	FY26 sales ₹3,900–4,100 cr (25%+ growth); 10–11% operating margin; 6–7% net margin; repay debt with IPO cash	Delivered ₹4,221 cr sales, 13.7% margin, ~8.7% net margin; debt cut ~89% right after listing	Delivered / beat
Q2 FY26 (Nov 2025)	Reaffirmed 25–30% growth; capacity to 2 million/month; multi-brand launch; L&T chip tie-up	Growth held above 30%; capacity ramped past plan; brands launched Dec 2025; L&T deal in place	Delivered
Q3 FY26 (Feb 2026)	Raised FY26 margin guide to 11–12%; first FY27 guide ₹5,350–5,550 cr; price hikes from January	Beat it — FY26 margin came in 13.7%; 6–8% price hike taken in Jan as promised	Delivered / beat
Q4 FY26 (May 2026)	Raised FY27 guide to ₹6,000–6,500 cr, 14–15% margin; flagged chip-cost headwind honestly	Too early to score — the FY27 test lies ahead; notably warned Q4's 18% margin was a one-off	Too-early

Narrative drift: essentially none. Across all four calls the story stayed the same — STQC tailwind, market-share grab, richer product mix, in-house parts, capacity build-out — and every quarter the company either met or beat its own guidance and then raised it. Management was also willing to flag negatives plainly: the memory-chip shortage, the one-off nature of the bumper Q4 margin, that the hoped-for "pent-up demand" did not fully show up, and that exports are still just a plan. That candour is a good sign. The single limitation is simply time: this is only nine months and four calls of public life, and it has all happened during an unusually favourable regulatory tailwind — the team has not yet been tested through a hard patch.

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a concrete, live driver and it is clearly working: a government rule pushed Chinese brands out, and CP PLUS — the largest certified Indian maker — is taking their share. It is not a promise; it already shows up as +36% sales, +166% profit and a jump from ~30% to ~45% market share in FY26, with margins widening on a better product mix. The main question is not *whether* it is real but *how long* the extra-fat share and margins last as rivals slowly get certified — but the trigger itself is proven and still running.

Management consistent? → YES (on a short, 4-call record)

Within its brief public life the team has delivered or beaten its guidance every single quarter, kept one steady story, done what it said on debt, capacity and price hikes, and been honest about the soft spots. That is genuine consistency, so the answer is Yes — but said plainly: it rests on only four calls over nine months, all during a favourable tailwind, so it is early evidence rather than a long-tested record.

Things to keep an eye on

The business is firing, but three cautions stand out. **(1) Price:** the stock trades at ~127 times earnings and has more than tripled from its lows — a lot of good news is already in the price. **(2) Costs and cash:** a global memory/chip shortage is lifting input costs into 2027, the cheap-inventory cushion is gone, and working capital is rising (the company is pre-paying to lock chips), so cash generation has been weak despite booming profit. **(3) Durability:** the whole trigger leans on a regulatory tailwind; as more Indian and global brands get certified, today's ~45% share and fat margins may normalise. None of these is a red flag today, but together they argue for watching rather than assuming the run continues unchecked.